

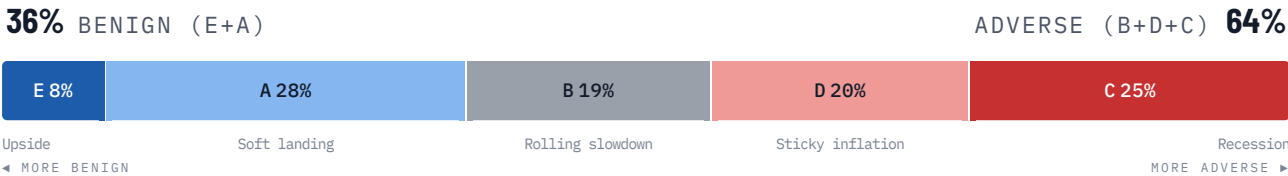
PROJECT ORACLE · NATIONAL AUTOMOTIVE ECONOMIC INTELLIGENCE · 24-MONTH HORIZON

The market is holding. The floor is narrow.

June SAAR hit **16.5M** — the best of the year — while retail sales fell **4.1%** underneath it. Credit is the loosest since 2015; subprime delinquency is at 32-year highs. The Fed under Kevin Warsh prices **hikes, not cuts**. Every payment metric is a record. What follows is the evidence, the odds, and the moves — built from 100+ dated sources, stress-tested by an adversarial red team.

Where the next 24 months land

Scenario probabilities to July 2028 · red-team adjusted · probabilities are judgments, not measurements



Plus a **~25% supply-shock overlay** — Canada 50% tariffs (Aug 19), USMCA wind-down, chip/rare-earth truce expiry — that can land on any scenario and flips the P&L sign: volume down, gross *up*, 2021-style.

JUL 29 FOMC decision

JUL 30 Q2 GDP advance

JUL 31 June PCE

JUL 28-31 ABG · LAD · GPI · AN earnings

AUG 19 Canada 50% tariffs

NOV 3 Midterms

01 · WHAT CHANGED

Six months that rewrote the board

You are not forecasting from calm — you are forecasting from aftershocks. Five shocks landed in H1 2026 and partially resolved; three more are on the calendar.

FEB 20 SCOTUS kills IEEPA tariffs, 6-3 But Section 232's 25% on autos and parts survives untouched. ~\$175B refunds flow to importers — not car buyers.	FEB – JUN U.S.-Iran war closes Hormuz Brent peaks ~\$119, CPI hits 4.2% in May. Ceasefire June 17, breached July 7-8; oil crashed 9% on July 27 as strikes were halted.	MAY 22 Kevin Warsh takes the Fed And proves hawkish: forward guidance scrapped, inflation projection raised, June dots imply one <i>hike</i> by year-end.
Q4 '25 – Q1 '26 Student-loan defaults hit the bureaus ~3.6M defaults reported, average score –91 points, garnishment running — a credit-score supply shock aimed at the marginal buyer.	JUL 1 USMCA enters wind-down Extension declined; 10-year clock started. The single largest structural threat to North American vehicle and parts costs.	AUG 19 → NOV 3 The next wave is scheduled Canada 50% duties Aug 19 · chip/rare-earth truce expiry ~Nov 1 · midterms Nov 3 · CA CARS Act Oct 1.

02 • THE REGIME **The numbers that run the store**

A K-shaped, credit-extended market: **63% of new-car buyers earn \$100K+**, ~1M buyers have priced out entirely, and lenders are stretching structure — not price — to keep volume alive.

JUNE SAAR

16.5M

▲ best of 2026 · Jul forecast 16.7M

Fleet-flattered — retail fell 4.1% in H1. Plan volume off retail, not headlines.

AVG NEW PAYMENT

\$777

▲ record · 3rd straight quarter

20.3% of new buyers now pay \$1,000+/mo. Merchandise by payment band, not price.

AMOUNT FINANCED (NEW)

\$44,156

▲ record · +\$1,768 y/y

Down payments fell to 11.6% of price — the lowest since 2020. Equity formation is weakening.

LOANS AT 84+ MONTHS

23.9%

▲ record · 73+mo now 36.5%

Term is the affordability escape hatch — and the machine that builds the next negative-equity cohort.

NEGATIVE EQUITY / TRADE

-\$6,884

▲ record avg · on 29.6% of trades

Underwater buyers pay \$944/mo. The 2022 peak-price cohort is at your desk now.

CREDIT AVAILABILITY (CAI)

104.6

▲ loosest since Dec 2015

Approvals 73.8%. The floor under demand today — the accelerant if it turns.

SUBPRIME ABS 60+ DPD

6.9%

▲ 32-year high (prime: 0.43%)

Severity, not frequency: stuck borrowers, heavy extensions, repos at post-2009 highs.

CPI · CORE

3.5% · 2.6%

▼ off the 4.2% May peak

Inflation is an energy story — but PCE at 4.1% is the number keeping Warsh hawkish.

CLAIMS 187K lowest since 1969 FED FUNDS 3.50–3.75% hold · hike risk live

ATP \$49,758 flat — chain absorbed ~4.5pp of tariff

INCENTIVES 7.0% of ATP, 13 months disciplined GAS \$4.11 +31% y/y

INSURANCE CPI -4.1% the lone relief line

03 · SCENARIOS

Five ways this goes — and the wildcard

The single most likely outcome is benign. The **weight** of outcomes is not. Position for margin compression; keep dry powder for scarcity. Arrows show what the adversarial red-team review did to each probability.

A

Grinding Soft Landing 28%

No recession. CPI drifts to ~3%, Fed holds (cuts optional late-window), SAAR 15.5–16.3M, labor frozen but stable.

DEALER POSTURE

Balanced: order to turn, hybrid-weighted, 45-day used clock, expense reset to 2019-plus-inflation.

red team: 30% → 28

B

Rolling Slowdown 19%

Growth stalls near zero, isolated negative payroll months, incentive discipline breaks, retail SAAR 14.8–15.5M. No NBER event.

DEALER POSTURE

Defensive: 40-day aging, down-market used rotation, marketing to retention, protect techs.

red team: 27% → 19 (was double-counting C)



Conventional Recession 25%

NBER recession inside 24 months. Trigger paths ranked: equity/AI-capex retrench, oil re-shock, trade rupture, credit accident. SAAR trough 13.5–14.5M.

DEALER POSTURE

Survival = liquidity: 30-day used clock, floorplan talks early, fixed ops becomes >60% of gross.

red team: 23% → 25 (toward base rate)



Sticky Inflation · Hawkish Fed 20%

CPI ≥3.5% persists, no cuts, 1–2 hikes possible — this is the path the futures market prices. Auto APRs ~8%; SAAR 14.5–15.5M with prices still rising.

DEALER POSTURE

Shortest new position of any scenario; subvention-first desking; nominal used values actually help.

red team: 15% → 20 (absorbs market-priced path)



Upside Reacceleration 8%

Oil <\$75 sustained (Venezuela + durable peace), CPI to ~2.5% fast, early cuts, real incomes broaden. SAAR >16.5M.

DEALER POSTURE

Offense: rebuild truck/SUV stock, recruit from weak competitors, deploy the fortress balance sheet.

red team: 5% → 8

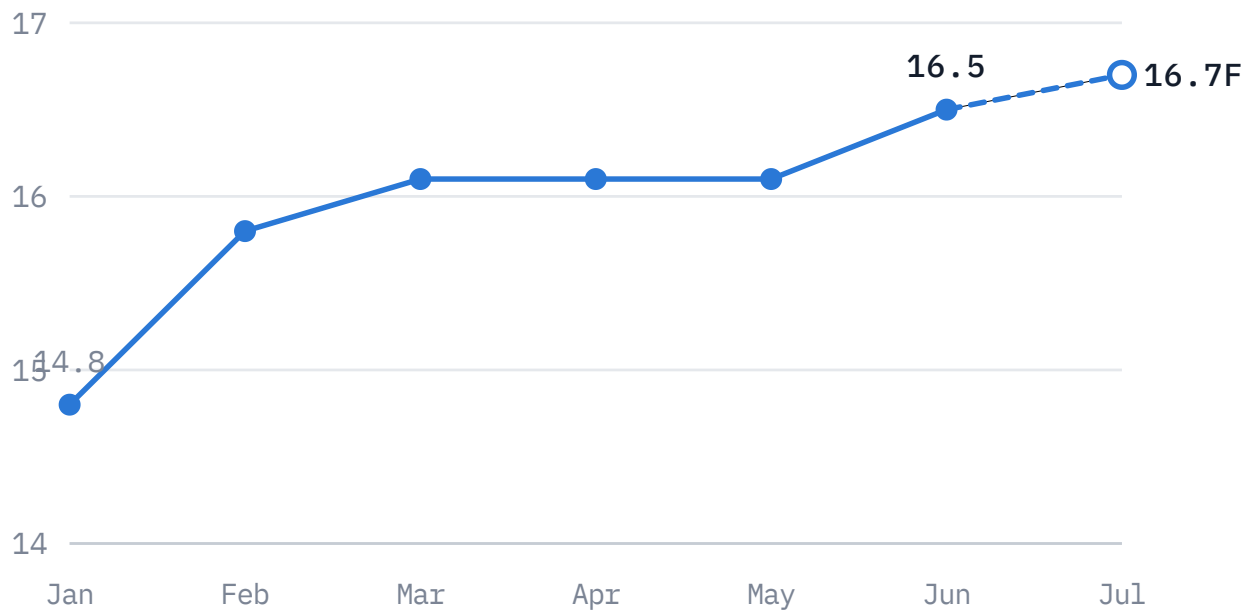
The ~25% supply-shock overlay

Not a sixth scenario — a supply state that can land on **any** of the five: Canada 50% duties biting, USMCA rupture, the chip/rare-earth truce lapsing (~Nov 1), Hormuz re-closing. Mechanics are 2021 on a smaller scale: days' supply crashes on affected brands, pricing power returns, **volume down but gross up**. It is the one state where offense means inventory — forward-buy parts, pre-order exposed models, hold gross without apology.

Base case: a **15.5–16.3M market that grinds**, front-end gross compressing on a glide — not a cliff — carried by record fixed operations. Recession odds accumulate toward 25% by July 2028, loaded into the back half by the policy stack.

2026 sales pace – headline firming

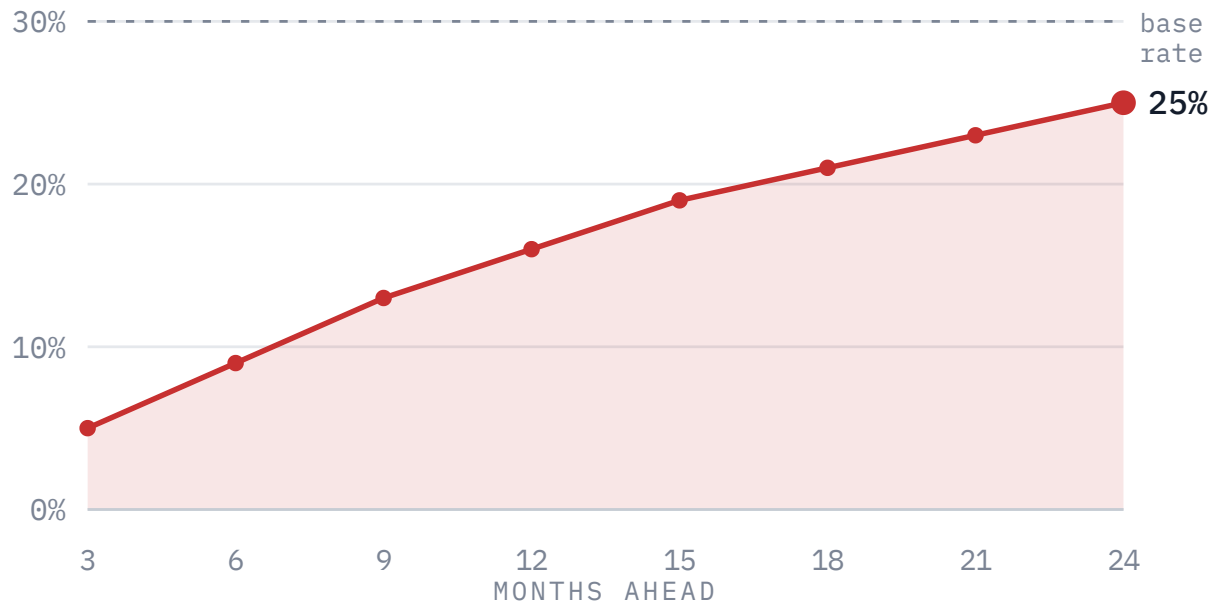
U.S. new light-vehicle SAAR, millions · Jan-Jun actual (Cox), Jul forecast



June beat forecast; July would be the year's best. The asterisk: retail –4.1% in H1 — fleet and pre-tariff pull-forward are flattering the line. Watch the Aug-Sep retail/fleet split for payback.

Recession odds accumulate late

Cumulative probability an NBER recession has begun, by horizon



Below the ~30% unconditional 24-month base rate — near-term signals are unusually benign — but back-loaded: Canada tariffs, USMCA, truce expiry and priced hikes stack risk into 2027.

05 • AFFORDABILITY The payment math that matters

Affordability is the binding constraint of the cycle, and it does not resolve in-window. Three computed facts should drive every desking and merchandising decision — validated against Edmunds' reported payment within 1%.

±\$21/mo

is all a **±100bp rate move** does to the average new payment. Rates cannot fix a \$777 payment — **only price, mix, term, and subvention can**. Stop waiting for the Fed.

\$7,989

is the price-cut equivalent of a **0% APR offer** at today's 7% market rate. This is why captives target subvention — and why you steer to subvented trims before discounting.

-2.7%

of price offsets a **+100bp rate shock** payment-for-payment. Incentives can neutralize plausible rate moves; they cannot neutralize a \$50K ATP.

19.0%

of gross income — payment plus insurance — is what the average new car costs a **\$60K household**. At \$150K it's 7.6%. That is the K-shaped market in one number.

Same car, three credit files

Monthly payment · \$44,156 financed · 72 months

Prime-weighted avg · 6.39% APR



All-credit market · 9.58% APR



Subprime · 13.44% APR

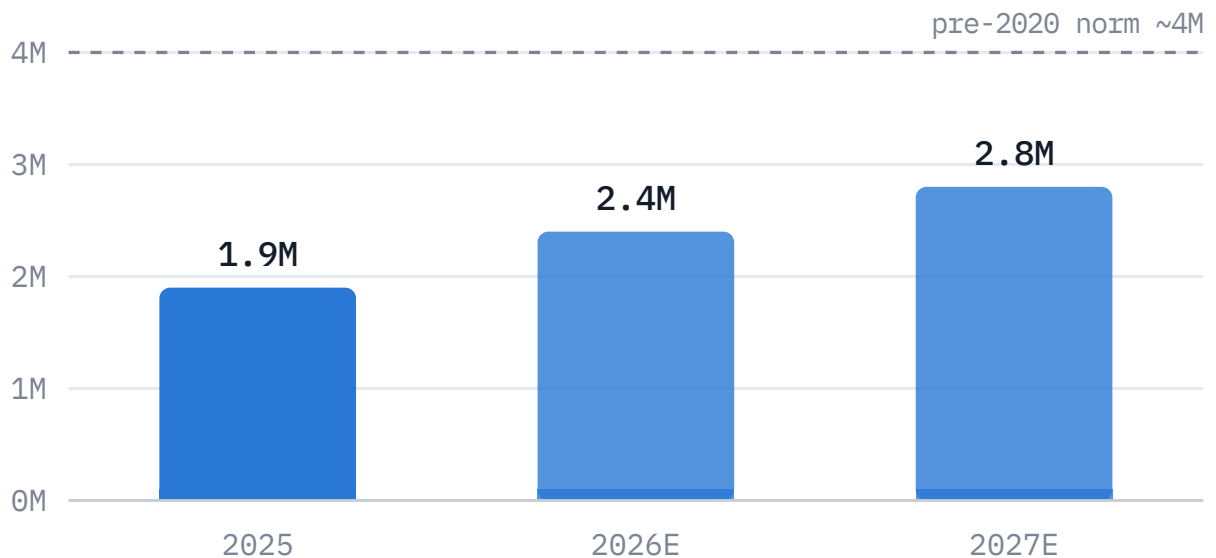


APRs: Experian Q1 prime-weighted average, Cox all-credit market rate (Jun), Experian subprime. The subprime *used* buyer fares worst of all: ~\$741/mo for a \$30.4K vehicle at 19.4%.

Used is the margin refuge while new compresses: values orderly at **+2% y/y**, cheap cars scarcest (sub-\$15K supply at 33 days), and new-car price pass-through pushing buyers down-market. But the off-lease trough is **ending** — and after 2027, the pipeline thins again.

The off-lease wave rebuilds, then recedes

Lease returns to market, millions of units



Even 2027's peak is ~30% below the pre-2020 norm — supply loosens without flooding. Weak 2025-26 lease originations mean a visible 2028-29 scarcity premium: lock sourcing channels now.

How to play it

- **Buy to a 45-day clock, price to market weekly.** The red team's live upside: substitution could push wholesale above +4% y/y — a trigger to lean in, not a comfort to relax.
- **The service lane is the moat.** Sub-\$15K units at 33 days' supply — appraise every RO over \$500; street-buy programs beat the auction on cost.
- **Used EVs are turn merchandise, not appreciation bets.** Values +12-14% on the gas spike, but EV lease returns are up +230% into 2027 — buy on turn, sell the fuel math, certify the battery.
- **3-yr residuals at a 5-yr low (66% of MSRP)** = softer trade equity ahead; keep ACVs conservative and mine positive-equity customers by CRM, not by hope.

Six numbers decide your posture

No single indicator triggers a strategy change. **Two Block-1 triggers firing together** — or one confirmed by your own store data — executes the pre-committed play. No debate, no latency.

Initial jobless claims

● OK

NOW **187K** — lowest since 1969

WARNING >260K sustained 4 weeks

PLAY Defensive set: aging to 40 days, hiring freeze, lender-coverage sprint

Oil & gas price

▲ WATCH

NOW Brent **~\$88** after −9.2% on Jul 27 · gas \$4.11, +31% y/y

WARNING Brent >\$100 for 30 days, or gas >\$4.50

PLAY Rebalance to hybrids/compacts/used EVs; re-forecast traffic-sensitive spend

Fed direction

▲ WATCH

NOW **3.50-3.75%** · decision Jul 29 · ~38% hike priced

WARNING Any 2026 hike, or 2-yr yield >4.75%

PLAY Scenario-D set: hedge floorplan, subvention-first, reprice aged units in 7 days

S&P 500 drawdown

▲ WATCH

NOW Near highs, **AI-concentrated** — top-decile spending is equity-underwritten

WARNING −15% sustained 30 days

PLAY Cap \$60K+ inventory at 30 days' supply; pivot marketing down-market

Auto credit availability

● OK

NOW CAI **104.6**, 5th straight gain · approvals 73.8%

WARNING Two consecutive declines, or your approvals <71%

PLAY Activate backup lenders; raise minimum cash-down on marginal paper

USMCA / Canada 50%

■ ALERT

NOW Wind-down triggered Jul 1 · **Canada 50% effective Aug 19**

WARNING Talks collapse; retaliation on autos/parts

PLAY Forward-buy parts 90 days; pre-order exposed models; supply-shock playbook

Every role owns a move

History's one law across 1990, 2001, 2008, 2015 and 2022: **dealer failure is a liquidity event, not a P&L event.** Stores die from floorplan calls, aged-inventory water and lender concentration — not one bad year of gross. The plan is built accordingly.

Dealer principal

- **Liquidity floor:** cash + unused lines $\geq$ 2 months of fixed expenses; excess into T-bills, not inventory.
- Score the store on the Resilience Index; anything under 60 gets a named 90-day fix.
- Put the buy-sell posture in writing — buyer, holder, or seller. The record market pays both discipline and courage.

General manager

- Stand up the six-trigger dashboard as a one-page weekly review.
- **Expense reset to 2019-plus-inflation** — the 2021-22 windfall is not the baseline.
- Pre-negotiate floorplan terms while rates are stable and your leverage is decent.

GSM

- Re-merchandise by **payment band** — lead with sub-\$600 used and subvented new.
- Install lost-sale reason coding (payment / rate / approval / trade value) — your local scenario detector.
- Train the OBBBA interest-deduction close on U.S.-assembled units (~\$400-800/yr real value).

Used-car director

- **45-day aging clock, hard.** Water drains at 45, not 60.
- Service-lane quota: appraise every RO over \$500.
- No speculative EV inventory past 30 days without a retail order.

Finance director	• Add two lenders now — one credit union, one subprime specialist. 60-90-day lead time; free option. • Shift F&I mix toward products, away from rate markup — the compressible half. • Track approvals, stipos and cash-down-required weekly by tier: your local SLOOS, a quarter early.
Service director	• Declined-work recapture program live in 30 days — it is the recession-quarter revenue reserve. • Recall-outreach engine on the Ford wave (~950K vehicles). • One apprentice per four techs, funded now — scarcity worsens in every scenario.
Controller	• 13-week rolling cash forecast, refreshed weekly. • Floorplan interest per unit sold on the daily DOC. • Stress-test at SAAR 14M / GPU -15% / floorplan +100bp — present the gap by Sep 1. CA CARS Act audit if exposed.

09 • FALSIFIABLE **What would change our minds**

Published in advance, per the red team. If you see these before we do, act on the playbook — not this report.

- ✗ **Two or more hikes by December 2026 with payrolls still positive** — the hold-then-cut spine is dead; rebuild around 8%+ APRs as base case.
- ✗ **Canada 50% implemented and U.S.-Mexico talks collapse** — shift to the supply-shock framework: volume down, price up, demand-independent.
- ✗ **A recession signal (Sahm rule) while claims still sit under 220K** — the low-hire/low-fire freeze model broke in a novel way; the indicator set needs rebuilding first.
- ✗ **Nasdaq -25% with top-decile spending flat** (or -10% with spending cracked) — the wealth-transmission model is mis-calibrated either way.
- ✗ **Core CPI above 4% with Brent under \$85** — inflation has decoupled from oil and gone expectations-driven; the whole disinflation glide path is void.
- ✗ **Used values +5% y/y during the off-lease build, or credit availability -5 points in a quarter** — the supply model or the credit-floor pillar has inverted; redo the dealer P&L layer.

Method. Supervisor-and-specialist agentic architecture: seven concurrent research agents (macro/labor, inflation/Fed, credit, consumer/housing, auto retail, affordability, policy/field intel), a data-integrity review, and an adversarial red-team economist, across five quality gates. 100+ claims with sources, periods, release dates and confidence ratings in the evidence ledger. Payment math: standard amortization, validated within 1% of reported data.

Honesty. Probabilities are analyst-ensemble judgments, not measurements. Data current through July 28, 2026; the July 29 FOMC, July 30 GDP, and this week's dealer-group earnings are treated as catalysts, not facts. Refresh monthly or on any trigger.

PROJECT ORACLE V3 · v1.0 · 2026-07-28 · full package: 00-methodology · 01-executive-brief · 02-horizons · 03-scenarios · 04-evidence-ledger · 05-dashboard · 06-forecast-packet.json · 07-presentation · 08-one-pager